Demo Industries Ltd - Annual Report 2024-25 (synthetic sample)

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Chairman's Message

Dear Shareholders, FY25 was a year of disciplined growth. Revenue from operations rose to a record level and we continued to reduce borrowings while investing in capacity. We remain committed to a balanced capital allocation policy, returning cash to shareholders through dividends while funding growth from internal accruals.

Our outlook for the coming year is positive. We expect demand to remain healthy across our key end-markets and plan to commission a new plant to expand our specialty product capacity by 25 percent.

Business Overview

Demo Industries Ltd manufactures engineered components and specialty chemicals for the automotive, infrastructure and consumer durables sectors. The company operates 9 manufacturing plants across India and employs 6,240 permanent employees. Exports contribute about 31 percent of revenue to more than 40 countries.

The company has two business segments: Engineered Components and Specialty Chemicals. Engineered Components contributes about 64 percent of revenue and Specialty Chemicals the balance. Rated CRISIL AA+ for long-term borrowings.

Management Discussion and Analysis

Industry overview: The domestic manufacturing sector recorded healthy growth supported by infrastructure spending and rising consumption. Raw material prices were stable during the year, helping margins. The board recommended a final dividend of Rs. 2.50 per share for the year.

Risks and concerns: Commodity price volatility, currency fluctuations, regulatory changes and intense competition remain the principal risks. The company hedges a significant portion of its foreign currency exposure. Opportunities include the China-plus-one trend, premiumisation and the shift toward specialty grades.

Outlook: Management expects revenue growth of 12 to 14 percent and stable operating margins in the next year, supported by new capacity and a strong order book.

Risk Management

The company has a risk management framework overseen by the Risk Committee. Key risks include supply chain disruption, customer concentration (top 5 customers contribute 38 percent of revenue), cybersecurity and talent attrition.

Corporate Governance Report

The Board comprises 9 directors of whom 5 are independent. The Audit Committee met 5 times during the year.

Balance Sheet as at March 31, 2025

(Rs. in crore)

Particulars	Note	March 31, 2025	March 31, 2024
Equity share capital	12	80.00	80.00
Other equity / Reserves	12	6,319.92	5,458.58
Borrowings	12	540.00	630.00
Other liabilities	12	610.05	556.96
Total equity and liabilities	12	7,549.97	6,725.54
Property, plant and equipment	12	1,915.06	1,802.23
Capital work-in-progress	12	410.56	366.79
Investments	12	150.00	150.00
Inventories	12	835.26	789.22
Trade receivables	12	827.48	836.48
Cash and cash equivalents	12	3,252.47	2,635.53
Total assets	12	7,549.97	6,725.54

Statement of Profit and Loss for the year ended March 31, 2025

(Rs. in crore)

Particulars	Note	Year ended 2025	Year ended 2024
Revenue from operations	20	5,304.78	4,843.17
Other income	20	63.02	51.50
Cost of materials consumed	20	2,464.66	2,248.25
Employee benefits expense	20	429.78	388.50
Depreciation and amortisation expense	20	135.17	127.77
Finance costs	20	56.45	64.94
Profit before tax	20	1,434.61	1,318.75
Tax expense	20	344.31	316.50
Profit for the year	20	1,090.31	1,002.25

Cash Flow Statement

(Rs. in crore)

Particulars	2025	2024
Net cash from operating activities	1,227.67	889.28
Net cash used in investing activities	(291.76)	(266.37)
Net cash used in financing activities	(318.96)	(297.13)